

DEEDS AND TRANSFER OF TITLE IN MICHIGAN

Study Sheet

Deed Requirements

Deeds must be in writing and contain all of these elements:

- The grantor must be of sound mind and of lawful age (18+).
- The grantor must sign the deed (if it's not signed by all grantors named in the deed, it isn't valid).
- Signatures must be notarized before the deed can be recorded. It's not always necessary for the grantee to sign (acceptance is implied).
- A description of the real estate that is being conveyed.

Deeds need one of the following to establish proof of ownership:

Certificate of title

Title insurance

Voluntary or Involuntary Alienation

- Voluntary: sale, gifts, partitioning, etc
- Involuntary: foreclosure, eminent domain, natural causes, etc.

Title Conveyance After Death

- Transfer of title by will (testate)
 - The testator must be of legal capacity.
 - The testator must sign the will for it to be valid.
- Transfer of title by descent (intestate)
- If a person dies intestate, title to the deceased person's property passes to the heirs according to the statute of descent and distribution.

Formal and Informal Property Description

- **Formal or legal:** Description of the land that specifies the boundaries and location of a specific piece of real property
- **Informal:** A street address

(123 Main Street, Beautiful City, Michigan, 12345-6789)

Assurance of Title

Before a loan is approved, the lender wants to ensure good title to protect their interests.

- Marketable title refers to a title that is free and clear of liens.
- Title insurance serves to protect the borrower and the lender.

Types of Deeds

Full Covenant and Warranty Deed : Strongest and broadest form; contains all six covenants:

- Covenant of seisin

- Covenant of right to convey
- Covenant against encumbrances
- Covenant of quiet enjoyment
- Covenant for further assurances
- Covenant of warranty

Bargain and Sale Deed : come with or without covenants of warranty.

Quitclaim Deed: Offers no warranties; releases any rights of the grantor to the property to the grantee. Often used to clear the cloud on a title.

Grant Deed : Used in some western states in lieu of a warranty deed. Is a type of statutory deed (warranties are implied by statute rather than being expressly stated).

Sheriff's Deed : Used in a foreclosure sale; issued by the court granting the foreclosure.

Probate

Legal process to either:

- Determine validity of will
- Appoint administrator to distribute assets legally, in the absence of a will

Recordation

- Provides protection for the property owner because evidence exists that the deed is formally recorded.

Revenue stamps:

Also known as a transfer tax, are imposed in Michigan on the sale of real property.

- The tax will vary depending on the sales price of the property and the size of the county.
- Typically paid by the seller.